

Chapter 718

PURCHASING POLICY AND PROCEDURES

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[HISTORY: Adopted by the Board of Selectmen of the Town of Hampton 7-25-2022]

GENERAL REFERENCES

Bonds and contracts — See Ch. 558.
Credit card policy — See Ch. 580.

Non-budgeted expenditures — See Ch. 596.

§ 718-1. Authority.

In accordance with the provisions of RSA 41:8, 41:9 and 37:6 the Board of Selectmen and the Town Manager hereby adopt the following purchasing procedures that govern the purchase of supplies, materials, and services, to implement the Purchasing Policy of the Town of Hampton.

1. Editor's Note: This ordinance superseded former Ch. 718, Purchasing Policy and Purchasing Procedures, adopted 6-18-2012.

§ 718-2. Purpose.

It is the intent and purpose of this policy to establish uniform purchasing procedures for the Town of Hampton to protect the public welfare and to assure fair and equitable treatment in the purchasing of supplies, materials, and services as contained in the purchasing procedures of the Town.

§ 718-3. Purchase of Supplies, Materials, and Services less than \$5,000.

- A. The Town Manager and the department heads that report to the Town Manager who have appropriations approved by the Town Meeting, and/or those who have authority to expend funds from expendable special accounts created in accordance with applicable laws can authorize the expenditure of funds when the sums to be expended do not exceed \$5,000 for any one purpose.
- (1) The department heads or the chair or other designated members of a department, board, committee or commission that does not report to the Board of Selectmen or the Town Manager that have appropriations approved by Town Meeting and/or those who have authority to expend funds from applicable special accounts created in accordance with applicable laws, and whose bills are paid through the Finance Department can authorize the expenditure of funds when the sum to be expended does not exceed \$5,000 for any purpose.
 - (2) Departments should exercise due diligence in making all purchases, including those under \$5,000, by obtaining three verbal or written quotes to ensure the best value for the Town, unless sole source is necessary or in cases where it is not possible to find three vendors due to the specialty of supplies, materials, or services.

§ 718-4. Purchase Requisition Required for Expenditures between \$5,000 and \$49,999.

All purchases for supplies, materials, and services that exceed a value of \$5,000 (but are less than \$50,000,) shall require a properly signed and executed purchase requisition in advance of the acquisition of the supplies, materials, or services procured unless otherwise excepted herein.

- A. Purchase requisitions for the following items are not required:
- (1) Utility bills
 - (2) Payroll-related items
 - (3) Legal bills
 - (4) Debt service payments
 - (5) Capital lease payments

- (6) Payment for human services warrant articles
 - (7) Payments to capital reserve funds.
 - (8) Payments for awarded bids and contracts
 - (9) Payments for awarded professional proposals.
 - (10) Insurance claims
- B. Purchases that require a requisition must obtain the signature of the Town Manager, or in his or her absence, the Acting Town Manager (in the absence of the Town Manager and the Acting Town Manager the Finance Director may sign purchase requisitions,) prior to the materials, products, or services being ordered.
- C. No supplies, materials or services shall be purchased, ordered, or received by any officer, department head, or employee of the Town without first obtaining a minimum of three (3) written quotes. The Department Head, or their designee, shall contact as many vendors as necessary in order to obtain at least three (3) written quotations for each different item being purchased. Documentation of internet-based pricing is considered a written quote for the purposes of this policy.

§ 718-5. Contents of Purchase Requisitions.

Purchase requisitions shall be completed before the ordering or purchasing of supplies, materials and services, and shall, at a minimum, contain the following information: the name and address of the vendor; the name and address of the purchasing department; the account code(s); the location to which the supplies, or materials are to be shipped or delivered; the quantity to be purchased; a description of the supplies; materials or services to be purchased; including any shipping expense and/or delivery costs (note that the costs need not be exact if unknown but an estimated amount must be supplied by the vendor); the date issued; and the authorized or required signature(s).

Departments shall use the Purchase Requisition Form authorized by the Finance Department.

§ 718-6. Purchase Requisition Distribution.

Purchase requisitions, following their completion and signing shall be distributed as follows: the original to remain in Finance, a copy to be retained by the issuing department, and a copy forwarded to vendor, if requested.

§ 718-7. Expiration of Purchase Requisition.

Purchase requisitions once issued are valid until the expiration of the fiscal year of their issuance.

§ 718-8. Purchase of Supplies, Materials, and Services over \$50,000.

- A. All purchases of supplies, materials, and services, the cost of which is estimated to exceed \$50,000 shall be allowed only after competitive sealed bids or sealed written professional proposals have been solicited. Excluded from this requirement are legal, engineering, and architectural services.
- B. Legal, Engineering and Architectural Services: The procurement of services from attorneys, engineers and architects shall be based upon their competency, qualifications and experience as determined through a qualification - based selection (QBS) process utilizing requests for qualifications (RFQ) and other processes that result in the selection of the most advantageous provider to the Town of Hampton. The issuance of any RFQ's for the procurement of these services shall have prior authorization and approval of the Town Manager.
- C. Town Departments, Boards, Commissions, and Committees shall solicit sealed bids and professional proposals in such a manner that the prepared documents do not contain restrictive or proprietary language unless they are qualified by using terminology that will permit the substitution of comparable supplies, materials, and services that will achieve the same goals and objectives regardless of the substitution.
- D. The above notwithstanding, sole source of supply, service or item may be warranted in certain limited circumstances. Such procurement by sole source should only be authorized by the Department Head, and should be based on the needs of the community, not as a means of avoiding competitive proposals or bids. The reasons for such sole source activity must be well documented.
- E. Items that are purchased via State or Federal Bids (which must be thoroughly documented) are excluded from the bidding or requisition requirements, as are any items waived by the Town Manager or items that are specifically voted under a Town Meeting Warrant Article that directs that a specific vendor be used for a specific purchase.

§ 718-9. Bid Process

- A. Departments, Boards, Committees, or Commissions may contact the Town Manager's Administrative Assistant for required formats prior to preparing written documents that conform with the Purchasing Policy.
- B. Draft bids or proposals may be referred to Town Counsel for legal review, if necessary. Upon completion, bids or proposals shall be sent to the designated prospective bidders.

- C. Pursuant to RSA 447:16, contracts awarded under bids for the construction, repair or rebuilding of public buildings, public highways, bridges, or other public works that are in excess of \$125,000 shall, as a condition precedent to the execution of the contract, require the posting of security, by bond or otherwise, in an amount at least equal to 100% of the contract price, conditioned upon the payment by the contractors and subcontractors for all labor performed, equipment hired, and materials used.
 - (1) Bid Security and Performance Bonds may also be required, depending on the nature and value of the project.
 - (2) All invitations to bid or request for proposals shall contain insurance and indemnification language approved by the Town's insurance carrier.
- D. Once bid documents or proposals are completed, they are to be forwarded electronically to the Administrative Assistant in the Town Manager's Office. Accompanying the bid documents will be the list of prospective bidders prepared by the bidding entity.

§ 718-10. Notice of Bid or Proposal.

An invitation to bid or request for proposals shall be publicly announced by placing the bid or proposal documents on the Town's website, and by sending invitations to bid and requests for proposals directly to potential bidders and proposers, and forwarding such invitations or requests to construction advertising agencies, association websites, etc. When appropriate the Town may utilize newspaper advertisements to announce invitations to bid and requests for proposals.

§ 718-11. Award of Bids or Professional Proposals.

All sealed bids or written professional proposals shall be awarded by the Town Manager on the following basis:

- A. Sealed bids and professional proposals shall be awarded to the lowest responsible bidder or proposer except that, in addition to price, the following shall be considered:
 - (1) The ability, capacity, and skill of the bidder or proposer, through the submission of required information as a portion of the bid or proposal, to perform the contract or provide the services required and the qualifications of personnel who will be involved in any work to be performed.
 - (2) Whether the bidder or proposer can perform the contract or provide the service(s) required by the terms of the bid or proposal promptly, or within the time specified, without delay or interference.
 - (3) The character, integrity, reputation, experience, and efficiency of the bidder or proposer.

(4) The quality, performance, timeliness, completeness and cost containment of previous contracts or services for the Town or others.

- B. When bids or proposals are received, the department head will document the results of the bid or proposal and forward the documentation to the Town Manager together with a statement either that the purchase complies with the purchasing policy or, that the purchase does not comply with the purchasing policy, and therefore requires a waiver voted by the Board of Selectmen or Town Manager, as appropriate, before action can be taken by a department to purchase.

§ 718-12. Right to Accept or Reject Bids and Proposals.

The Town, acting through the Town Manager, reserves to itself the exclusive right to reject or accept any or all bids or proposals received as determined by the Town Manager to be in the best interests of the Town.

§ 718-13. Bids and Proposals to Comply Without Modification.

- A. To be accepted, the bid(s) or proposal(s) must, as initially submitted, constitute a complete, unqualified offer that includes all the material terms of the invitations for bid(s) or professional proposal(s) or solicitation(s) and provides all the terms for the contract, without further modification, for the supplies, materials, or services solicited.
- B. This section shall not be operative where an invitation to bid or a request for a proposal specifically allows for the bidder or proposer to provide alternative bids or proposals or changes in specifications. Such inoperability under this section shall be permitted only where specifically shown in any bid or proposal solicitation, but not otherwise.

§ 718-14. Control, Supervision and Enforcement.

The provisions of this policy shall be subject to control, supervision, and enforcement by the Town Manager.

§ 718-15. Signature Required.

The signature(s) of the Town Manager under RSA 37:6 shall be required to award a bid or professional proposal hereunder.

§ 718-16. Exceptions to Public Bidding or Professional Proposal Requirements.

The requirement for public bidding or written professional proposals may be excepted where it can be demonstrated to the Town Manager's satisfaction that the particular supply, material or service can only be provided by a single source supplier or when the Town Meeting specifically votes to purchase a particular supply, material or service from a specific provider and no other or when there is a declared public emergency that requires immediate action to procure a particular supply, material or service.

§ 718-17. Emergencies.

When the public health and welfare, because of a declared public emergency, requires the immediate purchase of supplies, materials, or services, the Town Manager or individual department head or individual boards, committees, or commissions responsible for emergency services shall have authority to purchase needed supplies, materials, and services to meet the needs of the public emergency without the necessity of obtaining approved purchase requisitions. In such cases, purchase requisitions shall be completed following the emergency, if they are for purchases over the dollar thresholds outlined in this policy.

§ 718-18. Policy Waivers

The Board of Selectmen may by vote, grant a waiver from the provisions of this policy, if they find that the waiver that is to be granted is in the best interests of the Town of Hampton, and is in the spirit of this policy.

§ 718-19. Repeal and Applicability.

The adoption of this policy automatically repeals any and all past policies or practices that may have been or currently are in force but does not apply retroactively to purchases already agreed to on behalf of the Town.

§ 718-20. When Effective.

This policy shall become effective upon its adoption by the Board of Selectmen.